



OCCAR-EA OCCAR Management Procedure

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This document replaces: OMP 10 – Issue 9.4 dated 21/05/2022

Record of changes

Date	Issue	Changes
08/09/06	1	Creation of the document, following final staffing of Issue 1 Draft 9.1 by the 27 th Finance Committee, on 06 September 06.
18/03/08	2	Modification of paragraphs 4.3 "Budgetary Transfer", 7.3 "FM Statements" and 13.2 "Write Off Procedure – Administrative Budget", as agreed at 32 nd Finance Committee, on 21 November 07. Consequently deletion of reference to OMP 4.5.1.3 in paragraph 1.1.
25/03/09	3	Incorporation of CO-PS concept within paragraphs 3.6.1, 3.8.1, 3.9 and 3.10, as agreed at 35 th Finance Committee, on 14 October 08. Additional minor editorial changes in paragraph 3.10, as discussed at 36 th FC.
24/11/10	4	New paragraphs 1.6 Programme financial activity, 5.14 Programme decision closure and 5.5 Cash Forecast. New budget preparation calendar (paragraph 3.2). Amendment of the sites and CO/PS screening and endorsement process. Other various changes.
15/11/11	5	Creation of DNE Budget. Creation of new format AFP. Additional rules where AB is not approved in sufficient time. Additional rules concerning Administrative Investments. Move to full cash IPSAS.
18/12/12	6	Substitution of the DNE AB area by the programme integration Budget area. Update of the CO/PS allocation formula and of the non-member contribution to CO (annex A). Deletion of the detailed BLI nomenclature (annex B). Creation of the MOE/MAE. Update of OFP to the Through Life Management (TLM) approach. Change in the format of Financial Statement (annex C).
04/12/14	7	Introduction of IPSAS accrual accounting. Modification on the content of the cash forecast (para. 4.5). Creation of the AMAE and AMOE. Case of short-term borrowing between Nations. Clarification of the rules applicable to other receipts/revenues. Update of CO/PS 2 sharing formula. Other minor changes.
14/07/17	8	Simplification of the AB structure and share mechanism: optimization of CO-PS (paragraphs 3.3.1 & 3.4.1): inclusion of Programmes in integration costs, ICT costs and OCCAR-EA Growth model calculation (modifications in Annex OMP 10-A). Update of references, alignment of wording in para. 7.5 and alignment of terms used throughout the document.
08/03/19	9	Fine-tuning of ICT costs and OCCAR-EA Growth model calculation (modifications in Annex OMP 10-A). Clarification of wording in para. 2.2 on Financial Reporting, 7.3 and 7.4 on Financial Statements, 7.8 on Property and Assets. Other updates in para. 3 and 4 on Budgets and 5 on Funds Management.
09/08/2020	9.1	Following BoS approval of Business Case on "CO – Flat Line Simplification and Re-baseline" (CO/FD/2020/00672, Issue 4, dated 28/05/2020), amendment of Annex OMP 10-A, para. 1 to 3.
02/08/2021	9.2	Amendment of the GM formula to account of Small Programmes joining OCCAR

16/12/2021	9.3	Amendment focused on Annex A para 5 and concerning light changes to wording and the deletion of the requirement to submit a Business Case to the BoS for approval when the calculation of the GM contribution exceeds 100K€.
08/04/2022	9.4	Updated FOO Procedure and introduction of the Final Outturn Report to Nations in lieu of January FOO.
02/08/2024	10	The new issue involves a comprehensive revision of the OMP, with the following key changes: • Abandonment of the Growth Model formula: The GM is replaced by a new approach to funding CO staff, now based also on contributions from all Programme Divisions. • Overall review of the budget approval workflow and responsibilities: This includes the implementation of the 'one year, one AB' concept, accompanied by a detailed reconciliation process at year-end. • Application of the customer-funded principle: Some CO costs are transferred to the Programme Divisions, including integration costs related to new programmes. • Creation of a Management Contingency: This serves as a cash reserve under the Director's control, primarily used to smooth the CO AB and cover unplanned costs. • Introduction of the Flat-line for CO AB: This is now included in the OMP as a standing financial tool to control the CO AB. • Review of the nomenclature for the AB: The concept of 'indirect cost' is introduced. • Improved cash management: A target for OB cash, known as the Fair Cash Balance, is identified, and Special Calls for Funds are defined. • Improvement in the content and format of the Financial Statements. • Introduction of guidelines for the preparation and management of the banking services contract. • Inclusion of the pre-existing document concerning the investment policy.

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List of acronyms

AB	Administrative Budget
AAB	Aggregated Administrative Budgets
AFP	Administrative Financial Plan
AMFC	Administrative Maximum Financial Commitment
AOB	Aggregated Operational Budgets
BLI	Budget Line Item
BoA	Board of Auditors
BoS	Board of Supervisors
BP	Borrowing Procedure
BPP	Budget Preparation Process
BR	Budget Revision
CA	Contribution Agreement
CE	Cooperating Entity
CF	Cash Forecast
CFF	Call for Funds
CM	Commitment Management
CO	Central Office
CO-PS	Central Office – Programme Support
COV	Carry-Over Budget
DNE	Detached National Expert
ERP	Enterprise Resources Planning
EUR	Euros
FC	Finance Committee
FD	Finance Division
FL	Flat-Line
FO	Final Outturn
FOO	Forecast of Outturn
FS	Financial Statements
FTPC	Future Tasks and Policy Committee
FY	Financial Year
HoCSD	Head of Corporate Support Division
HoD	Head of Division
HoFD	Head of Finance Division
ICT	Information and Communication Technology
IG	Implementation Guidance (of IPSAS)
IP	Internal Procedure
IPSAS	International Public Sector Accounting Standards
MAE	Midterm Administrative Estimates
MC	Management Contingency
MOE	Midterm Operational Estimates
MS	OCCAR Member State
NLT	Not Later Than
OB	Operational Budget
OFP	Operational Financial Plan
OMFC	Operational Maximum Financial Commitment
OMP	OCCAR Management Procedure
PB	Programme Board
PC	Programme Committee

PD	Programme Division
PM	Programme Manager
POB	Programme Operational Budget
ProgD	Programme Decision
PP&E	Property, Plant & Equipment
PS	OCCAR Programme Participating State
SCFF	Special Call for Funds
SM	Staff Member
ToR	Terms of Reference
VAT	Value Added Tax
VOP	Variation of Price

List of definitions

Administrative Budget (AB)	The AB is the number of payments authorised to cover activities associated with the internal functioning of OCCAR-EA for one year. It corresponds to the “administrative section” used in Article 35 of the Convention.
Administrative Financial Plan (AFP)	The AFP compares the Administrative Maximum Financial Commitment of a Programme Decision with the total estimated administrative cost of the programme.
Administrative Maximum Financial Commitment (AMFC)	For definition, see Annex OMP 2-B.
Agent	An entity is acting as an agent when it does not have exposure to the significant risks and rewards associated with the sale of goods or the rendering of services (see IG 34 of IPSAS 9 implementing guide).
Aggregated Administrative Budget (AAB)	Administrative budget created assembling the Administrative Budgets for all functional areas active in OCCAR-EA. It provides the BoS with a corporate overview of the administrative activities/costs planned/expected in a year. The AAB shows at OCCAR level the total amount of each Programme/Site/Central Office Administrative Budget. It corresponds to the “administrative section” used in Article 35 of the Convention.
Aggregated Operational Budget (AOB)	Operational budget created assembling the Operational Budgets for all functional areas active in OCCAR-EA. It provides the BoS with a corporate overview of the operational activities/costs planned/expected in a year. The AOB shows at OCCAR level the total amount of each Programme Operational Budget. It corresponds to the “operational section” used in Article 35 of the Convention.
Borrowing	The means to obtain or receive cash (or cash equivalent) on loan for use during a temporary period of time, intending to give it (or something equivalent) back to the lender.
Budget Area	An OCCAR organisational financial entity supported by a Programme Decision – except for Central Office and Sites - for which an administrative and/or operational budget is established. Examples of budget areas are Central Office (AB), ProgD XYZ (AB/OB), Programme Division XYZ (AB) and (some) Sites (AB).
Budget-compliant	An activity is said to be “budget-compliant” when it can be planned in a way that it does not cause the CO AB to cross the Flat Line.
Call For Funds (CFF)	The CFF is the process whereby OCCAR-EA requests the Participating States to contribute an agreed amount of funding to cover the emerging liabilities.
Commitment	A commitment is an authorisation to make a liability for which an expenditure shall result. There are two types: legal commitment represents the liability associated to contracts or legal obligations

	financial commitment is most often the result of legal commitment. On a yearly basis, it represents the funding liabilities associated to budgets.
Contribution	The Contribution is the financial participation granted by a Nation to OCCAR-EA. Contributions are transferred to OCCAR-EA in response to CFFs.
Contributor	Contributor is a Member State (MS), a Participating State (PS) and any other entity (Cooperating Entity, Observer) that transfers funds to OCCAR-EA as contributions to one or more of OCCAR-EA budget areas for the management of programmes.
Cooperating Entity	An organisation/agency that has an agreement with OCCAR to cooperate in a defined area/activity.
Direct costs	Administrative costs which are displayed in Chapter 1, Chapter 2 and Chapter 3 of a budget area.
Expenses	Expenses are decreases in economic benefits or service potential paid or payable by the entity acting as a Principal during the reporting period, in the form of outflows or consumption of assets or incurrences of liabilities that result in decreases relating in net asset/equity, other than those relating to distributions to owners (see IPSAS 1).
Financial Plan	Administrative/Operational Financial Plans (AFP/OFP) compares the Administrative or Operational Maximum Financial Commitment of a Programme Decision with the total estimated administrative or operational costs of the programme.
Financial Statements (FS)	Financial Statements are the documents prepared according to Article 36 of the OCCAR Convention. They consist of a Section I (principal related Administrative transactions) and of a Section II for additional disclosures (agent related Programme Operational Budget transactions).
Financial Strategic Aim	Refer to the annual Business Plan for the list of corporate financial strategic aims.
Flat Line	Ceiling set to keep the growth of CO AB under control. It is calculated considering the budget of previous year and the inflation rate. It cannot be exceeded unless in specific cases foreseen in this document.
Functional Area	An OCCAR organisational entity for which an administrative budget is established. Examples of functional areas are Central Office, Programme Divisions and (some) Sites.
Indirect costs	Administrative costs which are reallocated to the Programmes Divisions (e.g. Site costs, CO _{PS} costs) and displayed in Chapter 4 of a budget area.
Investment	The purchase of a good or service with an expectation of favourable future returns in the long term.
Liabilities	The liabilities are the present obligations of OCCAR, the settlement of which is expected to result in an outflow of financial resources.
Member States	Those States which are parties to the OCCAR Convention.

Non-Member Participating States	Those States that participate in a program managed by OCCAR but are not a party to the OCCAR Convention.
Observer	A State/Organisation/Agency that has been granted by the BoS the Observer Status iaw OMP3. This status gives access to some information relating a Programme and/or other area of OCCAR business (refer to OMP 2 and OMP 3 for further details).
Operational Financial Plan (OFP)	The OFP compares, for each Programme Decision, the Programme Decision OMFC with the total estimated operational cost of the programme.
Operational Maximum Financial Commitment (OMFC)	For definition, see Annex OMP 2-B.
Outturn	Comparison of budget against payments at a particular point in time.
Participating States	Those States which participate in an OCCAR managed programme. They can be either Member States, Non-Member Participating States or any other entities (e.g. NSPA or European Commission).
Payments	Payments are cash outflows (IPSAS cash basis), made by OCCAR-EA. Outturn and payments are synonymous.
Principal	An entity is acting as a principal when it has exposure to the significant risks and rewards associated with the sale of goods or the rendering of services (see IG 32 of IPSAS 9).
Programme Decision	The Programme Decision is the legal binding decision taken by the Programme Board representatives of the Participating States, which defines the scope, high level objectives, organisation and management of the programme. High-level objectives include cost, delivery schedule and performance.
Programme Division	Team who is in charge of managing a Programme as delegated by the PSSs.
Programme Operational Budget (POB)	The POB is the number of payments authorised to cover the operational activities of a programme for one year. Payments are inclusive of Value Added Tax (VAT) and Variation of Price (VOP) where this is applicable.
Property	Comprise all equipment, goods and supplies purchased using Administrative Budget funds or given by Nations.
Receipts	Receipts are cash inflows (IPSAS cash basis), received by OCCAR-EA.
Revenue	Revenue is the gross inflow of economic benefits or service potential received or receivable by the entity acting as a principal during the reporting period, when those inflows result in an increase in net asset/equity, other than increases relating from contributions of owners (see IPSAS 1 and 9).
Short-term	Period up to 12 months.
Strategic Aims	Refer to OMP3 for a definition.

1. Purpose

This OCCAR Management Procedure (OMP) sets out the governing principles and fundamental rules under which OCCAR shall undertake its financial administration, including the financial relationship among the different contributors to OCCAR-EA budgets (Member States, Non-Member States, Cooperating Entities and Observers). It shall be applied to all financial activities of the organisation and adhered to by all OCCAR-EA staff.

2. Scope

The principal aim of this OMP is to provide OCCAR with the financial organisation and tools that it needs to manage its programmes in the most effective way in order to successfully fulfil OCCAR's obligations and to effectively achieve the financial strategic aims established for the Organisation. Through approval of this OMP, the Board of Supervisors (BoS) delegates financial powers to the OCCAR-EA Director (hereinafter referred to as "the Director"), Committees and Boards as set out below.

3. Related Documentation

- | | |
|------------------|---|
| ▪ Annexes OMP 10 | Financial Rules |
| ▪ IP 51 | Corporate Finance Management |
| ▪ IP 52 | Budget Preparation and Approval |
| ▪ IP 52-1 | Budget Preparation Data Requirements |
| ▪ IP 53 | Budget Management |
| ▪ IP 53-1 | Financial Management & Commitment Procedure |
| ▪ IP 54-1 | Invoice Handling and Payment Management |
| ▪ IP 55 | Accounting Management |
| ▪ IP 55-1 | Accounting End of year Procedures |
| ▪ IP 55-1 | Accounting Asset Management |
| ▪ IP 56 | Banking and Cash Management |

4. Introduction

4.1 Authority

This OMP is established in accordance with Chapter IX (Article 34) of the Convention.

4.2 Implementation and Administration

The Director has overall responsibility for the implementation of this OMP and to ensure that it is reviewed and updated as required.

By delegation of the Director, the day-to-day implementation and administration of this OMP shall be the task of the Head of Finance Division (HoFD) who is the Senior Finance Officer¹.

The OMP is structured as a core document which outlines the principles guiding the financial management of OCCAR-EA and with the linked annexes providing details by subject areas. The BoS retains the power to approve changes in the core document after a proposal for amendments is endorsed by the Finance Committee (FC). The FC has the delegation to approve amendments to the annexes and to approve minor editorial amendments to the core document. All amendments that

¹ The most senior (by grade) officer within OCCAR-EA with a professional finance background. This is normally the Head of FD. He is the Director's prime source of financial advice.

the FC does not consider as included in the delegation received, shall be submitted to the BoS.

4.3 Internal Management Documentation

Appropriate Internal OCCAR-EA Procedures (IP) and Internal Guidelines (IG), which shall strictly comply with the provisions contained in this OMP, shall define in more detail financial processes and procedures. These Procedures and Guidelines shall be made available to the national representatives to the FC.

4.4 Financial Year

OCCAR's Financial Year (FY) shall be the calendar year from 1st January to 31st December.

4.5 Programme Financial Activities

Any financial activity undertaken by OCCAR-EA and relating to a programme, shall be covered by a Programme Decision (ProgD) in force which specifies financial ceilings for both administrative (AMFC – Administrative Maximum Financial Commitment) and operational (OMFC – Operational Maximum Financial Commitment) expenditures for its lifecycle. OCCAR-EA shall ensure that all financial activities relating to a ProgD are performed before its termination.

4.6 Other Provisions

For financial matters, OMP 10 shall prevail over other OMPs.

BoS decisions which have financial consequences shall, if relevant, be incorporated into OMP 10.

5. Finance Stakeholders and Governance

5.1 General Organisation

The financial governance of OCCAR is achieved through a coordinated effort of the following stakeholders:

- Board of Supervisors (BoS)
- Finance Committee (FC)
- Future Task and Policy Committee (FTPC)
- Programme Board (PB) / Programme Committee (PC)
- OCCAR-EA Director
- Head of Finance Division (HoFD)
- OCCAR Staff Members (CO, PDs and Sites).

Refer to the OMP 1 (Principal Programme Management Procedure) and OMP 3 (Corporate Management/Terms of Reference - ToR) for the tasks and responsibilities of each stakeholder, further details and specifications focused on financial

governance and management are provided below in this document and/or in the annexes.

5.1.1 Board of Supervisors

The Board shall decide on all financial issues delegated to other Committees when these cannot make a decision.

5.1.2 Finance Committee

The FC is responsible for the direction of all financial matters in accordance with the ToR defined in OMP 3 and the authority delegated in this document.

The FC shall monitor the operation and effectiveness of OCCAR-EA's financial management and shall advise and propose to the BoS the general policies on OCCAR financial matters.

The FC has the responsibility for the approval of the AB for Central Office (CO) and for Sites in line with paragraph 7.4 Budget Approval.

5.1.3 Future Task and Policy Committee

With the support of the Finance Committee (FC), the FTPC shall monitor the integrity of the Financial Statements of OCCAR-EA.

The FTPC shall also review the effectiveness of the OCCAR-EA's internal control framework.

In coordination with the FC, the FTPC may draw up specific policy that might affect financial and administrative matters.

5.1.4 Programme Board and Programme Committee

The Programme Committee shall oversee the financial management of a programme. Unless otherwise specified by a Programme Board written decision, the PC is responsible for the approval of the Administrative Budget (AB) (direct and indirect costs) and Operational Budget (OB) for the programme.

5.1.5 OCCAR-EA Director

The responsibilities are according to Chapter V Article 21 of the Convention and the Director's ToR defined in OMP 3. The Director holds overall responsibility for financial planning, budgeting, in year management and accounting. In fulfilling his responsibilities to the BoS, the Director shall draw on the expertise of the Head of the Finance Division. The Director is entitled to formally sub-delegate, to the fullest extent possible, authority further within OCCAR-EA with the aim of achieving highest performance in the financial management of OCCAR-EA.

5.1.6 Head of Finance Division

The HoFD maintains the accuracy, reliability and relevancy of the financial management information produced and ensures the identification of OCCAR's financial risks. The HoFD is the primary source of financial advice

to the Director. The HoFD is the highest authority on behalf of the Director for maintaining the integrity for all aspects of financial management.

Through Finance Division, the HoFD directs and co-ordinates all financial functions, processes and procedures within OCCAR-EA. FD provides financial guidance and support to Programme Divisions (PDs) and CO Divisions.

5.1.7 OCCAR Staff Members (CO, PDs and Sites)

Staff Members (SM) at CO, PDs and Sites with responsibility in the financial processes shall apply the principles and rules of this OMP and follow guidance and supervision provided by HoFD through the FD, in the cascaded IPs/IGs, with the aim of ensuring an efficient and effective standardised financial management.

The Finance functional objectives of staff members shall be assigned by the Programme Managers (PM)/Heads of Division (HoD) in collaboration with the HoFD and shall reflect SM roles and responsibilities, to allow for standardisation of practices in the financial domain, compliance to rules and procedures, continuous improvement, efficiency and effectiveness in the achievement of OCCAR financial objectives.

5.2 Control and Audits

The Director through the HoFD shall establish and maintain an internal control system aimed at ensuring the fair, accurate and transparent management of financial resources and financial processes. The risk of fraud, malpractices and financial misbehaviour shall be assessed and proper controls/procedures shall be implemented aimed at mitigating those risks and at preventing wherever possible the occurrence of risk events.

The accuracy and fairness of financial activities are paramount and are checked periodically by means of dedicated financial audits. Financial audits may be performed by the Board of Auditors (BoA) and National Auditors (NA) according to the provisions of the OCCAR Convention, Chapter IX (art. 36) and Chapter XIII (art. 44, 45 and 47) respectively, to the relevant ToR and to the content of this document.

The internal auditors (Internal Audit Office - IAO) can audit the financial processes and procedures.

5.3 Reporting on financial data

Reporting requirements and reports to Committees are defined in OMP 3. They are further enriched/supplemented by the financial reports required in this document and in the Annexes aimed at meeting the information needs of stakeholders on the financial management of OCCAR-EA.

Further details about content, frequency and timeline are shown at Annex OMP 10-A - Reporting on Financial Data.

5.3.1 Outturn Reports

OCCAR-EA shall provide the relevant outturn reports to Member States and Participating States outturn reports for each AB/OB.

5.3.2 Cash Forecast

Cash Forecast (CF) reports shall be provided only for operational budgets. The CF shall highlight for each Programme Decision, the estimated need for cash to be transferred by Participating States/Contributors to OCCAR-EA for honouring the payments expected in the year. In the preparation of the CF, the annual budget, the cash balance in the ProgD bank account and the expected payments to contractors shall be taken into account.

5.3.3 Source of Financial Information

The definition and availability of a single source of financial information is assessed as an important element of the internal control that shall inform all financial activities performed in OCCAR.

The single source of financial information and reporting on financial data is the Financial Management System that is the part of the ERP (Enterprise Resource Planning) system devoted to the financial management. Reports and data delivered outside of the ERP shall be used only if they comply to the system.

The ERP shall always reflect the current financial status both operational and administrative of all functional areas part of OCCAR. Financial data not recorded and not validated in the ERP shall not be considered as official data and shall not be used for reporting purposes at Corporate level.

5.3.4 In-year Financial Management

It is deemed necessary that the FC and the BoS maintain an up-to-date clear view on the overall progress of the in-year financial activities. The FC shall be informed of the status of all budgets and the HoFD shall present an in-year financial management update at each FC and BoS meeting.

6. Budgets and Financial Plans

OCCAR planned expenditure for the functioning of the organisation (administrative costs) and the delivery of programmes to Nations (operational costs) shall be recorded in dedicated budgets prepared and approved on an annual basis.

The approved budgets for the year identify the annual ceiling for both payments and transfer of funds from Contributors to OCCAR.

The preparation of the budget shall be based on an accurate estimate of the expenditures for the year.

Further details about budgets and financial plans are provided in Annex OMP 10-B – Budgets and Financial Plans.

6.1 Administrative and Operational Budgets

Administrative Budgets (AB) provide cover for administrative costs, are prepared for functional areas and are structured in chapters and Budget Line Items (BLI) to allow a better control of costs/expenditures.

Operational Budgets (OB) provide cover for operational costs and are prepared for each Programme Division. A Programme Division may have more than one OB when supported by a ProgD.

The Administrative and Operational Budget for a Programme Division shall be in accordance with the relevant Programme Decisions.

The ABs for each functional area and the OBs for each Programme Decision are assembled at Corporate level, to form the Aggregated Administrative Budget (AAB) and the Aggregated Operational Budget (AOB), respectively.

6.2 Budget Preparation

Budgets are prepared on an annual basis. In Y0, the budgets for Y1 and the indicative budgets for Y2 to Y4 are prepared.

The HoFD leads and coordinates the Budget Preparation Process (BPP).

6.3 Administrative Cost Sharing

As a general rule, different functional areas/ProgDs have different contributors. The specific contribution a contributor shall transfer to OCCAR to honour the budgeted annual payments is calculated using rules and sharing keys as defined in Annex OMP 10-C – Administrative Costs Sharing.

The sharing keys used to apportion AB costs among the PS in a Programme are agreed and established at Programme level.

Sharing keys used to apportion AB costs to different Programmes and functional areas are established by HoFD/FD according to this document. If not specified differently in further parts of this document, the costs for CO are shared among MS according to sharing keys based on the voting rights assigned to each State.

6.4 Budget Approval

The BoS approves the aggregated administrative and operational Y1 budgets (AAB and AOB) of OCCAR-EA.

By delegation of the BoS provided by this OMP:

- Programme Boards/Committees approve Y1 administrative and operational budgets for the respective Programmes and note the indicative budgets for the following years (Y2 to Y4);
- The Finance Committee approves the Y1 administrative budget for CO and for those Sites recognised as functional areas and note the indicative budgets for the following years (Y2 to Y4).

6.5 Financial Plans

Annually, for each ProgD in force an Administrative Financial Plan (AFP) and an Operational Financial Plan (OFP) shall be produced. These plans are aimed at providing each Participating State with a comparison between the current foreseen (administrative/operational) cost of a ProgD and the (Administrative/Operational) Maximum Financial Commitment (AMFC and OMFC).

Each AFP and OFP shall be prepared by OCCAR-EA and sent to the relevant Committees once a year according to the financial corporate reporting timeline defined at Annex OMP 10-A Reporting on Financial Data and as part of the BPP as defined at Annex OMP 10-B Budgets and Financial Plans. It is HoFD responsibility to highlight the risk of exceeding the ProgD financial ceilings and to provide recommendations to PCs.

6.6 Central Office Special Provisions

CO provides services to Programmes, PDs and Sites on a regular basis and that some of these services have costs that may not always be considered in the administrative budget preparation process. Moreover, the CO may incur unexpected costs following the decision of States to integrate/initiate new programme decisions and/or activate new sites and/or expand existing sites.

Business continuity and organisational effectiveness are considered paramount values to be protected.

Further details relating to the special provisions for CO are given at Annex OMP 10-D – CO Special Provisions.

6.6.1 Administrative Budget Control – Flat Line

The AB Y1 when compared with the AB Y0 shall not grow more than the expected inflation rate for Y1 (flat line) plus a tolerance margin whose value is defined at Annex OMP 10-D – CO Special Provisions.

An annual growth up to the expected inflation does not need justification. A growth exceeding the flat line but lower than the tolerance margin line shall be justified during the budget approval process.

Budgeted activities may generate peaks above the flat line combined with the tolerance line that cannot be rescheduled or funded in a more budget-compliant way and shall not be used to inflate the flat line for the budget for the next year. It is the FC responsibility to approve the peaks based on explanations provided by HoFD/FD during the CO administrative budget approval process.

6.6.2 New Sites – Changes to Existing Sites

All costs relating to the creation of a new site or to changes of an existing one are paid by the PSs requiring the changes.

CO is entitled to take all necessary actions to achieve the preparation of a new site according to the business requirements and up to the financial ceiling defined in the approved budget. To this aim the AB for CO may include a dedicated BLI aimed at providing coverage for the expected costs. All costs incurred by CO for the activation of a new site shall be paid back by PSs and recovered as soon as a suitable functional budget area for the new site is established.

Changes to existing sites shall be budgeted through the standard BPP.

6.6.3 Integration or Initiation of New Programmes

In order to prepare the integration of a new programme in OCCAR-EA, CO may incur additional costs (e.g recruitment costs, basic site costs for creation/modification, ICT preparation, travel and subsistence). To record/manage these AB CO costs, a dedicated BLI may be created/established for each chapter.

These costs are budgeted as part of the CO_{PS} budget of CO and funded by the PSs.

Further details about the funding of integration costs are at Annex OMP 10-C – Administrative Cost Sharing.

6.6.4 Central Office Management Contingency

The pace of change in which OCCAR-EA operates requires some financial agility. In order to provide CO with some flexibility a Management Contingency (MC) account is established. The account may be linked to a specific BLI.

Further details about the MC are at Annex OMP 10-D – CO Special Provisions.

6.6.5 CO Support to Programmes

The CO provides support to all PDs. The number of programmes under OCCAR management is a main driver of the total CO staff providing the services required by PSs. The cost for services provided by CO and part of the cost relating to staff in CO shall be borne by PSs. This requires for CO staff a 'customer funded' model to be applied allowing for a proper share of costs between MSs (main contributors for CO) and PSs.

Further details about the CO Support to Programmes are at Annex OMP 10-C Administrative Costs Sharing.

6.7 Budget Revision

OCCAR-EA budgets maintain their validity following approval occurred in Y0 for Y1 and they are not reviewed in-year unless there is the need for a budget uplift for a budget area or ProgD. When a Budget Revision (BR) is necessary a new budget issue shall be prepared and approved.

A BR is required when a new estimate of expenditure to be incurred in the year exceeds the currently approved budget, even if liquidity is already present in OCCAR-EA bank accounts.

For AB, an updated estimate of the annual expenditure which results in a reduced financial effort compared to the current approved budget shall not generate a BR.

At year end, the final outturn and reconciliation process for AB shall identify all adjustments required to align the actual contributions received by OCCAR-EA to those necessary for the year. The AB contributions adjustments relating to Y0 shall be taken into consideration in Y1 (offsets of CFF).

Further details about the reconciliation process are provided at Annex OMP 10-E – Year-end Administrative Budget Reconciliation Process.

6.8 Provisional Budgets

When a budget has not been fully approved by 1st of January Y1, a provisional budget is automatically established. The Call for Funds shall not exceed the established Provisional Budgets.

6.8.1 Administrative Budget

The Provisional Budget is equal to 25% of the budget Y0 or draft budget Y1 if available.

The budget shall be approved by the relevant Committee no later than Q1 Y1, if the risk of not meeting the deadline is foreseen then the Director shall be informed in order to take appropriate actions.

6.8.2 Operational Budget

The Provisional Budget is equal to the expected payments due in the first quarter of Y1 in respect of contracts already signed at the 31st of December Y0.

No new contracts shall be signed under a Provisional Budget regime.

The Programme delegated authority can decide beforehand on an alternate rule for the calculation of the Provisional Budget and on renewing the Provisional Budget on a quarterly basis.

6.8.3 Board of Supervisors and Committees Information

When a Provisional Budget is activated, OCCAR-EA FD shall promptly inform the BoS, the FC and the relevant PC.

6.9 Budgets for Programmes in integration/New ProgD in existing Programme

For future programmes in the integration process, the timeline may deviate from the standard BPP.

7. **Budget Management**

7.1 Commitment Management

Administrative and Operational Budgets are managed through commitments that create a link between a budget and an expenditure on the purchase of goods/services. More specifically, the commitment of funds is the acceptance and recording in the corporate accounting system of a proposed liability to expend OCCAR funds in the future.

Funds are not to be expended without prior authorisation. Commitments may be entered into only for those purposes authorised in the approved budget and only to the extent to which funds have been allotted.

OCCAR-EA shall update, monitor and control its financial commitments both in the administrative and in the operational domains as a continuous annual process aimed at ensuring that expected payments cannot exceed the annual budget and also do not exceed the AMFC/OMFC set for the programmes.

The Commitment Management (CM) is the responsibility of the Head of Finance Division who shall provide the Director with regular updates across the FY.

The PMs implement CM through their FOs at PD level. For CO and Sites, CM is implemented by HoCSD through the CO FO and/or Site managers.

Further details about the CM are provided at Annex OMP 10-F – Commitment Management.

7.2 Transfer of Funds from One Budget Year to the Next

Funds received by OCCAR against an annual budget shall be used before the end of that FY. Unused funds outstanding at year-end (underspend) shall be framed in future year budgets.

Further details are provided at Annex OMP 10-B – Budgets and Financial Plans and at Annex OMP 10-E – Year-end Administrative Budget Reconciliation Process.

7.2.1 Administrative funds

Received and unspent funds linked to administrative procurement activities that have been initiated (financially committed purchase order recorded in the ERP) by the end of the year (Y0) but have not been finalised yet (goods/services not invoiced) generate a dedicated BLI in AB Y1 for the same amount. Outstanding unspent amounts can be used to reduce the CFF for Y1.

7.2.2 Operational funds

The funds received and unspent relating to operational contracts at year end (Y0) may flow to the Programme Carry Over management.

PDs shall plan the use of these funds in year Y1 based on the expected delivery of the related delayed milestones. A dedicated budget may be created for the use of Carry Over funds to provide cover for payments related to delayed milestones and/or released retentions. Carry Over funds may also be used to reduce the CFF at Programme discretion.

The balance of the Carry Over shall be minimised through effective planning of delayed milestones payment, retentions management and proper CFF offsetting.

Funds in the Carry Over exceeding the annual budgeted amount shall be considered for a short-term investment in line with paragraph 9.2.2 Investments and Annex OMP 10-G – Investments.

7.3 In-year Budgetary Transfers

The Head of Finance Division may approve in-year budgetary fund transfer requests:

- Intra-chapter transfers for AB and OB from one BLI to another belonging to the same budget chapter;
- Inter-chapter transfers from one BLI to another belonging to different budget chapters of an AB.

A summary of all chapter transfers shall be prepared annually according to details provided in Annex OMP 10-A – Reporting on Financial Data.

8. Management of Funds

8.1 Contributions

OCCAR-EA meets the AB and OB financial liabilities on behalf of Nations through the timely receipt of funds (contributions) provided by Contributors such as Member States, Non-Member States and Cooperating Entities (i.e. European Union, NSPA, other).

Funds are transferred to OCCAR-EA following a Call For Funds (CFF) issued by Finance Division.

CFF may be issued against a not-yet-approved budget upon national official request but funds received shall never be used/spent before the budget they refer to is officially approved or the provisional budget is established.

The sum of the total CFFs for the year shall not exceed the approved budget/provisional budget including the Special Call for Funds as described in para 9.1.2.

The amount of a CFF shall be determined considering the expected payments and the amount available in the relevant bank account with the aim of ensuring business continuity (payment of vendors/supplier without delay) and of avoiding uncontrolled growth of bank balances.

A CFF shall be issued at least 60 days before the expected payment to be honoured with those funds unless formally represented reasons require different timeline.

The standard timeline for the issue of CFF is at Annex OMP 10-M – Standard Financial Timelines.

8.1.1 Delayed Contributions

OCCAR-EA shall honour its payments in a timely manner.

In order to fulfil this paramount requirement, OCCAR-EA shall monitor the receipt of funds following CFF ensuring that delays and/or difficulties that might hamper the timely payment capability are promptly identified and discussed with the relevant Contributor.

In the event of a lack of funds to honour a payment due in 15 working days, FD shall initiate the Borrowing Procedure (BP) with the aim of ensuring the availability of necessary cash for the payment. Costs incurred by the activation of the BP shall be borne by the Contributor causing the activation.

The FD shall inform the FC of costs incurred following the activation of a BP.

8.1.2 Special Contributions

In the event a Contributor wishes to transfer funds to OCCAR-EA beyond the annual payment needs of a programme, a Special Call For Funds (SCFF) may be issued.

An operational SCFF shall be issued upon request of the concerned Contributor which clearly specifies the amount and the future FY where the funds are planned for use. The cumulative value of the operational SCFF shall never exceed the value of the future budget year(s). The planned use of operational funds received through SCFF may be adjusted according to Contributor's requirements by means of a specific official request. The funds available in a FY relating to the operational SCFF issued in the past shall be taken into consideration in the calculations for the CFF required.

A SCFF may be activated also for administrative funds. An administrative SCFF shall be issued upon request by the Nations. The cumulated value of the administrative SCFF shall never exceed the value of the future budget year(s). The funds available in a FY relating to the administrative SCFF issued in the past shall be taken into consideration in the calculations for the CFF required. The issuing of an administrative SCFF however, is considered as a very special event and shall be reduced to a minimum, based on strong motivations and be supported by clear indications from the Nations on the use of the funds.

8.1.3 Bad-debt Procedure

The issue of a CFF establishes a liability to a Contributor to perform a transfer of funds (payment of the CFF) to an OCCAR-EA bank account by a defined due date. FD shall put in place a process to monitor the regularity of bank transfer providing reminders/warnings to Contributors in the event delays occur. Overdue receivables (CFF not paid or only partially paid) shall be treated as bad-debts and adjusted in a way that they are aligned with the funds actually transferred by a Contributor and received by OCCAR-EA.

8.1.4 Other Incomes – Unallocated Credits

The standard and primary means for OCCAR-EA to increase the funds available for administrative and operational payments/purchases is the issue of a CFF/SCFF. There are however other sources that may provide OCCAR-EA with funds that are not linked directly to a CFF/SCFF such as:

- Interests
- Sale of assets
- Penalties and liquidated damages
- Royalties, levies and entrance fees
- Other contractual deductions (forfeit clause, indemnities, price reduction, contract termination)

These are all funds available to Nations according to their requirements, however, they cannot be used to perform payments in excess of the relevant AMFC/OMFC. These funds are also named unallocated credits.

OCCAR-EA shall report annually on the number of unallocated credits available for each nation/budget area.

8.1.4.1 Member States

It is responsibility of the national PC representative, taking the national FC representative informed, to provide timely guidance on the utilisation of available unallocated credits.

8.1.4.2 Non-member States and Cooperating Entities

Unallocated credits available on bank accounts relating to a non-Member State (i.e. a participating state that is not a member state) or an entity in cooperation, are used according to instructions provided by the State/Entity and in compliance with AMFC/OMFC. In the event no instructions are provided, the amount available shall be transferred back to the relevant State/Entity when the concerned ProgD is terminated or when deemed necessary by OCCAR-EA.

8.2 Cash Holdings

AB and OB funds shall be kept in banks of good financial standing selected by applying competitive tenders whenever possible/convenient. Only banks located in a Member State shall be considered as providers of banking services.

Further details on bank selection and/or the management of the banking services contract are provided at Annex OMP 10-H – Banking Services Contract.

8.2.1 Cash Balance

The cash balance for each bank account managed by OCCAR-EA to the benefit of MS and PS, both for AB and OB funds, shall be positive to allow for prompt payment of the invoices received.

Cash balance shall be managed through proper financial planning and budgeting which is recognised as good financial practice. In the operational domain, where the cash inflows are naturally higher in comparison to the administrative domain, a target cash balance shall be pursued as specified at Annex OMP 10-I – Negative Interest Rate Fees.

In order to improve the cash and the financial management, cash in excess not required for payments in the short-term, shall be taken into consideration for investment.

8.2.2 Investments

The only authorised forms of investment are:

- Term deposits / deposit accounts and equivalent financial tools with principal guaranteed at maturity

- Governmental securities

Further details on investments are provided at Annex OMP 10-G – Investments.

8.2.3 Interest Rates

In a normal economic scenario (positive interest rates), bank accounts generate interest earnings on funds deposit, however there might be circumstances where the economic environment results in banks introducing negative interest rates. Consequently, the funds deposited could be reduced due to the bank charging interest fees.

Gains generated on a positive interest rate account shall be credited to that account and represent a liability for OCCAR-EA to the MS/PS on behalf of which OCCAR-EA manages the account.

Losses generated on a negative interest rate account shall be debited to MS according to the rules/procedures provided in Annex OMP 10-I – Negative Interest Rate Fees.

Gains generated by positive interest rates are used in line with paragraphs 9.1.4.1 and 9.1.4.2.

It is FD responsibility to optimise cash management to mitigate / eliminate the risk of loss due to negative interest rates.

8.3 Lack of Operational Funds – Borrowings

Due to unforeseen circumstances, a temporary lack of cash may result in PDs not being able to meet their financial obligations. The temporary lack of cash for a PD shall be addressed – in order of priority (from the highest to the lowest) – with one or more of the following measures:

- Borrowing from a Programme but same PS/Entity in Cooperation, where the cash needed for a programme is made available through a loan from another OCCAR Programme by the same PS
- Borrowing from a Programme but different PS/Entity in Cooperation, where the cash needed for a programme is made available through a loan from an OCCAR Programme by a different PS
- Payment delay, to be negotiated with the supplier
- Borrowing from the bank, where the cash is provided by the provider of banking services

When a temporary lack of cash causes FD to activate one of the borrowing measures, all related costs shall be borne by the PS facing a lack of cash.

The duration of the borrowing shall always be minimized in order to reduce costs and negative effects on the management of the programmes involved and initially limited to one year but renewable at the request of the PD concerned and subject to the consent of the appropriate lender.

Further details on borrowings are provided at Annex OMP 10-J – Borrowings.

8.4 Lack of Administrative Funds

In the event that FD is not able to make a payment in due time against an AB because of a lack of cash due to missing or incomplete contributions, one or more of the following measures shall be applied with prior consultation of the relevant Committees:

- Use of the administrative reserves of the Contributor not matching the CFF
- Use of operational funds provided for an OCCAR Programme to which the MS/PS not matching the CFF contributes
- Use the overdraft or borrowing facility provided by the provider of banking services

When a temporary lack of cash causes FD to activate one of the measures, all related costs shall be borne by the Contributor responsible for the lack of cash.

The costs incurred and caused by the activation of one of the measures shall be reimbursed by the relevant Contributor in the following FY. The need for the Contributor to make a reimbursement beyond the costs incurred shall be ascertained on a case-by-case basis.

8.5 Return of Administrative Funds to Nations

At the end of Y0, for each administrative budget area, the reconciliation process shall identify the financial adjustments required to align the received contributions and the actual expenses. When a positive variance is found between contributions and expenses a CFF offset shall be calculated and applied to the relevant contributor during the management of the administrative budget for Y1.

9. Payments

FD shall make all payments either administrative or operational. The HoFD is responsible for the regularity of the payment process and for the implementation of control measures aimed at ensuring timely payments and at avoiding malpractice and/or fraud.

The AB and OB shall be considered as annual payment ceiling.

In accordance with OMP 6, payments shall be made within 30 days from the receipt of the invoice or as otherwise set out in the contract.

9.1 Workflow

All invoices shall enter the invoices-management workflow promptly following receipt of invoice.

Invoices shall be managed in digital format and stored in the Electronic Records Management System (ERMS) of OCCAR-EA. The format of the invoice will be in accordance with the vendor/supplier Nations rules (preferred method).

For the payment of an invoice to be authorized the invoice shall be first checked to verify correctness of all its element (vendor/supplier data, goods/services provided,

contract/purchase order). The invoice shall then be checked for alignment with the goods/services received/provided. Payment shall be authorized only after a positive cash check.

9.2 Authorisation of Payment (AOP)

Payments are authorised by individuals with the appropriate letter of delegation in full respect of the segregation of the duty's principles.

9.3 Payment Instruction to the Bank

The FD shall issue payment instructions to the bank after checking the regularity of all relevant documentation (validated invoice and AOP). Payment Instructions shall be authorised by two signatories, including at least one A grade.

10. **Financial Accounting**

10.1 Guiding Principle

OCCAR-EA shall implement a process of recording, summarising and reporting the transactions resulting from business operations on an annual basis. The financial accounting process which is made of accounting principles, rules and procedures and an accounting system (corporate ERP), shall allow OCCAR-EA to prepare annual financial statements in accordance with International Public Sector Accounting Standards (IPSAS).

The financial accounting process shall be maintained and improved in accordance with the recommendation of the Finance Committee on the matter.

Further details on the presentation of the Financial Statements are provided at Annex OMP 10-A – Reporting on Financial Data.

10.2 Accounting Principles

OCCAR-EA financial accounting process shall implement the International Public Sector Accounting Standards (IPSAS) issued by the International Public Sector Accounting Standards Board (IPSASB).

10.3 Accounting Basis

10.3.1 Administrative

Administrative transactions which occur under the funding cover provided by an administrative functional budget area shall be recorded and reported on IPSAS accrual basis of accounting.

OCCAR-EA enters in an administrative transaction to achieve objectives that are linked to its own organisational functioning.

OCCAR-EA acts in the administrative domain as Principal, i.e. it is fully responsible/accountable for the financial transactions performed/entered in.

10.3.2 Operational

Operational transactions which occur under the funding cover provided by an operational budget shall be recorded and reported on IPSAS cash basis of accounting.

OCCAR-EA enters in an operational transaction to achieve objectives defined and funded by Nations (Participating States) in the programme management domain.

OCCAR-EA acts in the operational domain as Agent, i.e. it enters/performs financial transactions on behalf of the Nations.

10.3.3 Supplementary Management Information

OCCAR-EA shall also prepare supplementary management information relating to the financial management of programmes aimed at providing interested users/stakeholders a more in-depth view of the cash management in the operational domain.

The report containing the supplementary management information shall be made available to the BoS, all Programme Committees and the BoA.

Content and additional detail on how to prepare the Supplementary Management Information Report are in Annex OMP 10-A – Reporting on Financial Data.

10.3.4 Audit of the annual Financial Statements (FS)

The BoS appoints audit authorities in order to ensure the financial management of OCCAR-EA occurs in a fair and transparent manner and that it respects the accounting principles, rules and regulations.

The audit authority appointed for the scrutiny of OCCAR-EA's FS and accounts is the Board of Auditors (BoA).

The BoA shall submit an audit report summarizing the findings of its audit activities on OCCAR-EA's FS/accounts, providing recommendations for improvements and including its opinion on the FS.

10.3.5 Approval and Timeline

The draft annual FS for the prior year shall be submitted to the BoA by end of March in order to allow the audit authority to perform its scrutiny.

The audit report, accompanied by the Financial Statements and the Supplementary Management Information Report, shall be submitted by the Director to the BoS for approval at the latest 6 months after the end of the financial year (end of June).

10.3.6 Property, Plant and Equipment Management

Property, plant and equipment (PP&E) are OCCAR's physical or tangible long-term assets that typically have a life of more than one year.

Details are provided in Annex OMP 10-K – Property, Plant and Equipment.

10.3.7 Property, Plant and Equipment Items

OCCAR-EA is empowered to acquire PP&E items only for its internal functioning using administrative funds.

An inventory shall be maintained for all PP&E and its accuracy shall be verified annually.

10.3.8 Asset Recognition and Depreciation

A PP&E item or a coherent set of items making up a functional system/equipment shall be recognised as an accounting asset as detailed in Annex OMP 10-K – Property, Plant and Equipment.

Recognised assets are depreciated on an annual basis.

10.3.9 Write-Off Procedure

The write-off is the procedure whereby OCCAR-EA is relieved of responsibility for a PP&E item which has been lost, stolen, damaged beyond economical repair or destroyed or for loss of cash. It is applied to reduce the value of an asset or other accounting records and defines a loss for OCCAR-EA. The circumstances causing the loss shall be examined with a view to avoiding any recurrence and to establish whether a claim for compensation or disciplinary action may be appropriate.

Write-off is not applicable to items which are obsolete, surplus to requirements or have reached the end of their useful life due to 'fair wear and tear'.

A written record shall be kept of all write-off actions and investigations. A note into the Annual FS will include a list of the write-offs, which occurred during the FY.

All novel or contentious write-offs, irrespective of value, shall be reported to the FC directly and in a reasonable timeframe.

Further details on the write off procedure are in Annex OMP 10-L - Write-Off Procedures.

10.4 Financial Records and Vouchers

Financial records and vouchers, including the Financial Statements of OCCAR-EA, shall be kept electronically for 10 years. Vouchers and invoices related to contracts shall be kept electronically for at least 5 years after contract closure.

11. Auditing and Control

Together with the Internal control mechanism defined at paragraph 6.2, the following are the additional elements and mechanisms that ensure a proper financial management in OCCAR -EA.

In particular, the Director shall ensure that financial responsibilities and functions are attributed following a clear policy of segregation of duties.

11.1 Internal Control

The Director, and the HoFD as delegated representative, shall establish an ERP system as part of the internal control processes necessary to enable proper checks and authorisations of all financial transactions, ensure correct and effective use of OCCAR-EA's funds, assets and property and, consequently, minimise the risk of error or fraud.

To this end the Director shall ensure that financial responsibilities and functions are attributed following a clear policy of segregation of duties.

11.2 Internal Audit

The Internal Audit programme, prepared by the Internal Audit Office is approved by the Audit Committee and may include audits of financial processes and activities based on risk assessment and in accordance with OMP 3.

11.3 External Audit

11.3.1 Board of Auditors (BoA)

The BoA is established by the BoS to undertake external audits of the OCCAR-EA accounts. The BoA may make observations and issue recommendations on financial matters as set out in their ToR included in the OMP 3.

11.3.2 National External Audits

The conduct of national external audits is governed by Chapter XIII of the OCCAR Convention, Articles 44, 45 and 47.

11.4 Anti-Fraud Procedure Pertaining to Financial Management

11.4.1 Anti-Fraud Requirements

Following terms of article 46 of the Convention, OCCAR-EA shall establish an internal procedure that covers the anti-fraud financial management.

11.4.2 Anti-Fraud Whistle blowing

The BoA is informed every year by FD about any suspected or proven instances of fraud in relation with the FS.

12. Management of Taxes

12.1 Administrative Budget

Annex 1 of the OCCAR Convention provides the tax framework inside which OCCAR-EA performs its official activities. VAT charges due to unavailability of appropriate measures aimed at granting exemption, shall be paid by OCCAR-EA Central Office/FD centrally for all administrative purchases.

12.2 Operational Budget

During the BPP, the appropriate funds for VAT shall be incorporated into the OB for each Programme Participating State, taking into account the applicable national VAT regime derived from the relevant EU Directives and regulations, the MoUs and the Programme Decisions.

13. **Close of Business**

13.1 Close of a Programme Decision

When a ProgD terminates, FD shall prepare an estimate of the closing account position for the ProgD to be provided to the PS at least three months before the ProgD termination date. The estimate shall be prepared considering administrative and operational activities separately. On the basis of this estimate, each PS shall inform FD on the treatment to be applied to the funds available at the termination date. A final closing account situation is established when all financial activities linked to the ProgD are terminated.

13.2 Programme Termination

Once all Programme Decisions are closed, a Programme can be terminated. FD shall verify that all the financial activities are fulfilled and all financial commitments are closed.

A statement of the final financial position of the Programme is prepared by FD and submitted to the PSs.

Assets registered to the Programme shall be managed according to the directions provided by PSs (e.g. sale, redistribution, transfer to Nation).

13.3 OCCAR Termination

In the event of OCCAR termination, FD shall ensure that all financial liabilities either administrative or operational are fulfilled and all invoices are paid before closing the accounts and submitting the final Financial Statements to the BoA and the BoS.

13.3.1 Planning

Close of business shall be planned and a suitable close-of-business date shall be identified which allows for performing all payments, liquidation of assets and proper closure of accounts.

The plan for close of business shall consider a suitable period after close-of-business date necessary for the preparation of the final FS and the final audit of the BoA.

13.3.2 Assets

All registered assets that still have a useful life and a residual value shall be sold with the aim of maximizing the income to the benefit of the MS.

Unsold assets shall be offered to MS (priority 1) and staff members (priority 2) before scrapping.

13.3.3 Member States Shares

The funds available at close of accounts after the payments of all OCCAR liabilities and the liquidation of assets shall be shared between the MS according to the sharing keys based on voting rights.

13.3.4 Final Financial Statements

The BoA shall organize a special close-of-business FS audit whose report shall be submitted to the BoS not later than six months after close of business date.

14. **Annexes**

Annex OMP 10-A	Reporting on Financial Data
Annex OMP 10-B	Budgets and Financial Plans
Annex OMP 10-C	Administrative Costs Sharing
Annex OMP 10-D	CO Special Provisions
Annex OMP 10-E	Year-End Administrative Budget Reconciliation Process
Annex OMP 10-F	Commitment Management
Annex OMP 10-G	Investments
Annex OMP 10-H	Banking Services Contract
Annex OMP 10-I	Negative Interest Rate Fees
Annex OMP 10-J	Borrowings
Annex OMP 10-K	Property, Plant and Equipment
Annex OMP 10-L	Write-off Procedures
Annex OMP 10-M	Standard Financial Timelines

Note: All Annexes are contained in a separate document "Annexes OMP 10 Financial Rules" as they are classified as OCCAR UNCLASSIFIED and cannot consequently be published on the Internet.